

Shriram Finance Ltd | Financials | FY 2024-03

SHRIRAMFIN | Nifty 100 Investment Tearsheet

36,388

Revenue (Rs Cr)

7,399

Net Profit (Rs Cr)

28.9

Operating Margin (%)

14.1

Return on Equity (%)

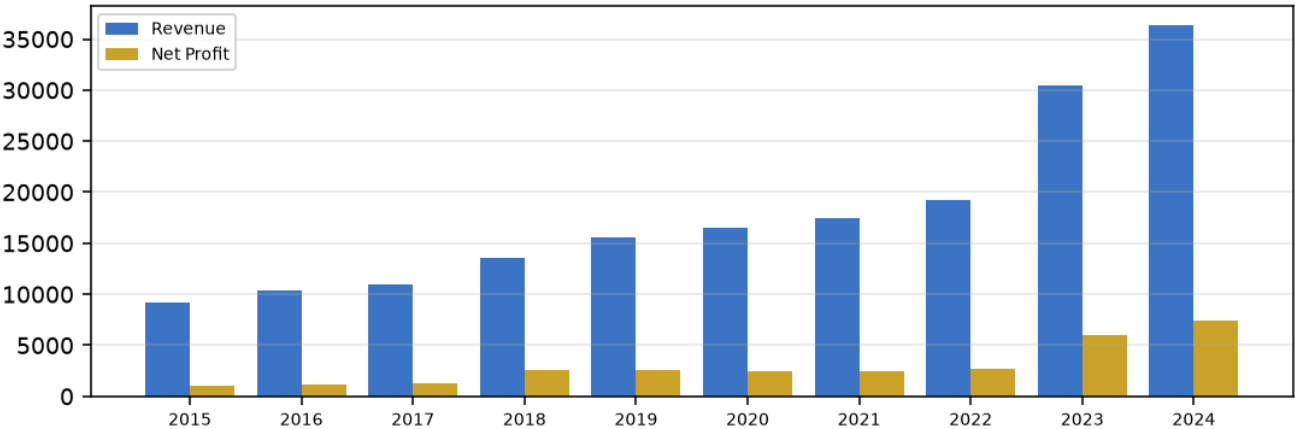
4.3

Return on Capital (%)

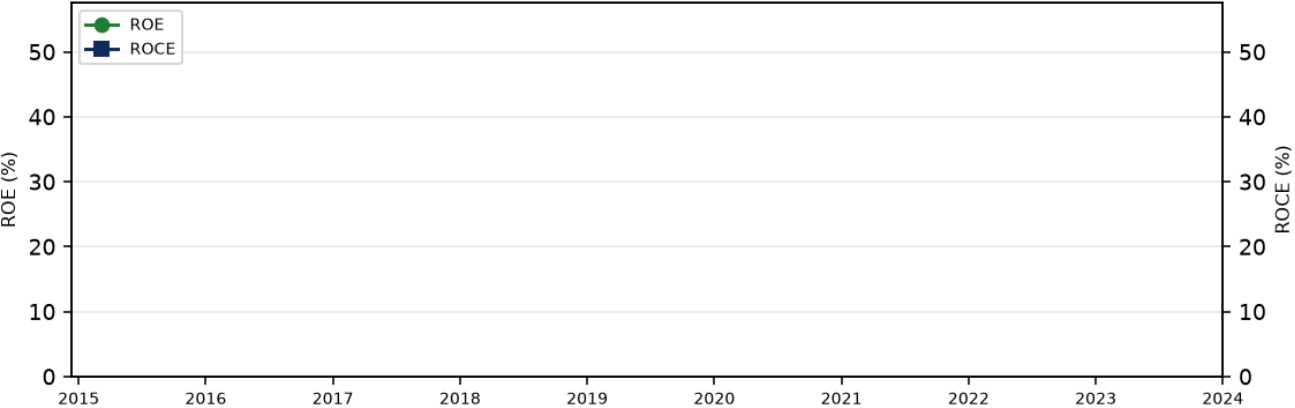
3.97

Debt / Equity

10-Year Revenue vs Net Profit (Rs Cr)



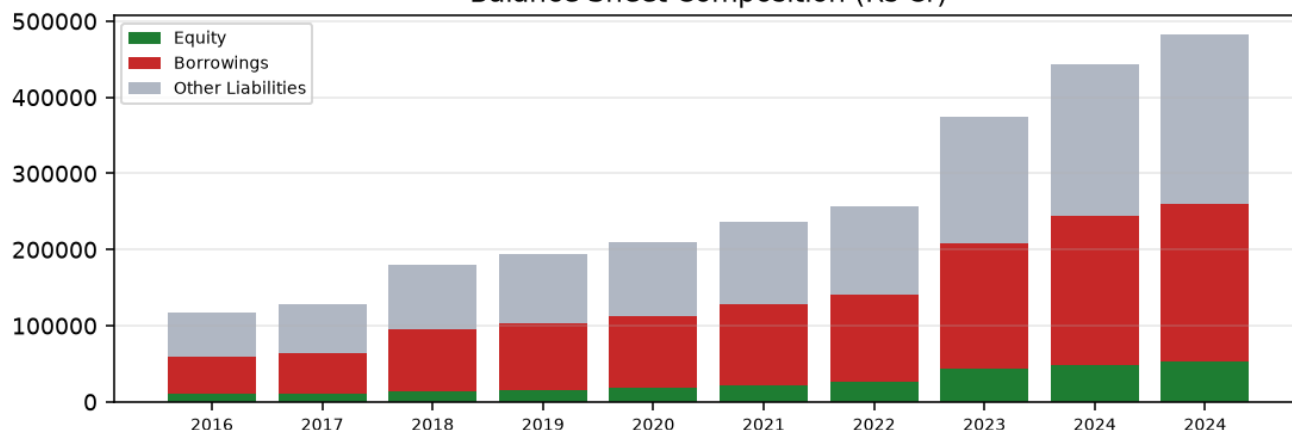
Return on Equity vs Return on Capital



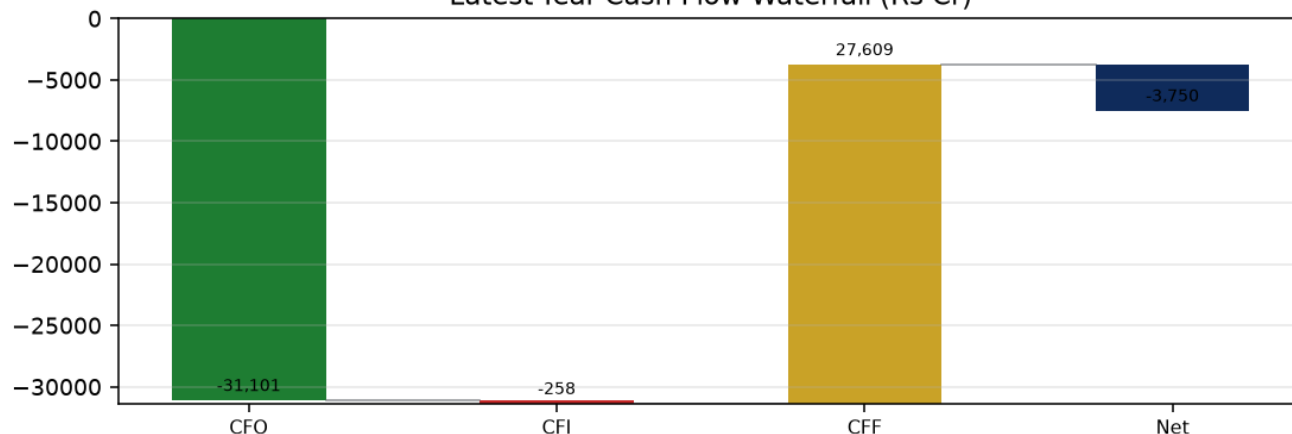
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Balance Sheet Composition (Rs Cr)



Latest-Year Cash Flow Waterfall (Rs Cr)



Pros

- Revenue growing at above 15% CAGR over 5 years reflects strong business momentum
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Very high interest coverage ratio reflects negligible financial stress from debt servicing
- Return on equity improving for 3 consecutive years shows strengthening business quality

Cons

- Free cash flow negative for 3 consecutive years raises concern about cash generation quality
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- Net debt of 196204 cr exceeding 3 times EBITDA (17.62x) limits financial flexibility

Capital Allocation: Growth Funded by Debt